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INDUSTRY · INDUSTRY · INDIA FIN

India Financial Services

Report of 11 Oct 2026 Price at research 45+ companies **FAVOR PRIVATE BANKS · AMCS**

The thesis is two thirds right: demand is proven, but growth does not automatically reach shareholders.

WHY

- Penetration is low: bank credit about 57% of GDP, mutual funds about 21% of GDP against 74% globally, insurance 3.7% against 7.3%.
- HDFC Bank grew profit 19% a year for five years while its share price fell 3% a year. The growth had already been paid for.
- The market is split: large banks at 10 to 17 times earnings, exchanges and fintech at 33 to 130 times.

SIGNALS TO WATCH

- ☐ Oil near $100 and the rupee near record lows
- ☐ Retail bad loans rising for three straight quarters
- ☐ New rules on options trading, unsecured loans or payment fees
- ☐ Large-bank valuations back above 3 times book without higher returns

> NEXT CHECKPOINT
> Q2 FY27 bank results in the second half of October 2026.

DATES TO TICK OFF

	WHEN	WHAT	WHAT TO CHECK
☐	31 Oct 2026	**Checkpoint**	Q2 FY27 bank results in the second half of October 2026.
☐	10 Jan 2027	**Refresh the verdict**	It turns 90 days old; rerun the research before relying on it.

THE FULL REPORT · INDIA FINANCIAL SERVICES · 11 OCT 2026

Date: 2026-10-11 · **Framework:** value-chain scan + Buffett / Munger / Duan Yongping / Li Lu **Scope:** everything that sells money, moves money or manages money in India: banks, non-bank lenders (NBFCs), insurers, asset managers, exchanges and market infrastructure, payments and fintech. Prices are NSE closes of 9 Oct 2026 unless stated. ₹1 lakh crore = ₹1 trillion ≈ US$10.5B at ~₹95.5 per dollar. **Information richness: A for large banks, NBFCs, insurers, AMCs, exchanges** (decades of audited data, quarterly disclosure) · **B for new listings** (NSE, Groww, Tata Capital, HDB Financial, ICICI AMC: under 18 months of public trading) · **C for unlisted** (PhonePe, Zerodha, Razorpay)

AI research limitations: "India is the next China" is one of the most repeated stories in investing, so an AI summary drifts toward the optimistic consensus. This report leans on hard numbers (reported profits, book values, penetration ratios, actual 5- and 10-year share returns) and labels forecasts as forecasts. Company figures come mostly from Screener.in and Q1 FY27 (April–June 2026) results coverage, which are secondary sources. Not investment advice.

Currency and your money: this report is written in Indian rupees. HDFC Bank share ₹707 ≈ €6.51 ≈ 34.8 lei · HDFC Bank ADR $22.28 ≈ €19.86 ≈ 106 lei · ICICI Bank ADR $27.89 ≈ €24.86 ≈ 133 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, ₹100 = 4.92 lei. ADR prices are in US dollars: 1 USD = 4.7612 lei. Romanian inflation was 6.2% a year in August 2026 (INS). The National Bank of Romania forecasts 6.1% for end-2026 and 3.4% for end-2027. Figures in lei and euros are conversions at that day's rate and move with it.

0. The short answer to the thesis

The thesis was: *India is becoming a superpower, its people will need far more financial services, so Indian financial companies should do very well.*

The first two thirds hold up. The last third does not follow automatically.

PART OF THE THESIS	VERDICT	WHY
India's economy keeps growing fast	**Right**	Real GDP grew 7.6% in FY26; FY27 forecasts 6.4–6.9% (made before the oil shock)
"Superpower"	**Overstated**	Large in total, poor per person: IMF puts 2026 GDP per capita at about $2,812. That poverty is exactly why the runway is long, but it also caps what each customer can pay
People will use far more financial services	**Right, and already happening**	Bank credit ~57% of GDP vs ~199% private debt in China; mutual funds ~21% of GDP vs 74% global average; insurance 3.7% of GDP vs 7.3% global; only 5.2 crore people hold a credit card
Therefore the stocks do well	**Not automatic**	HDFC Bank compounded profit 19% a year for 5 years and the share price went **down 3% a year**. Bajaj Finance: profit +34% a year, stock +4% a year. Growth was real; shareholders had already paid for it
A foreign investor captures it	**Leaks**	The rupee has lost roughly 3–4% a year against the dollar and euro for a decade (≈₹67 to ≈₹95.5 per dollar). A euro investor's return is the rupee return minus that

What makes October 2026 interesting is that the consensus has cracked. The Nifty is down about 14–17% this year, foreign investors pulled a record ~₹2.19 lakh crore out of Indian equities by mid-May, Brent is near $100 on the Middle East conflict, and the rupee is at record lows. India's largest private bank trades at 1.8 times book, the cheapest in many years. The growth story has not changed. The price paid for it has.

1. Investment Logic Chain and Validation

1.1 The chain

```
1.4 billion people, median age under 30, real GDP growing 6–7.5% a year
    → Incomes rise from a very low base ($2,812 per head)
        → Households move from cash/gold/land to financial products
          (first loan, first card, first mutual fund SIP, first insurance policy)
            → Financial-sector revenue grows faster than GDP for decades
                → Digital rails (Aadhaar ID, UPI payments, account aggregator) cut the cost of serving small customers
                    → Winners: whoever owns (1) cheap deposits, (2) underwriting skill,
                       (3) a regulated toll booth, or (4) the customer's savings flow
                    → Losers: whoever only owns "users" on a free public rail
```

1.2 Link-by-link validation

LINK	CORE ASSUMPTION	EVIDENCE	STRENGTH
Growth → income	India keeps compounding	FY26 real GDP +7.6%; FY27 forecasts 6.4–6.9% (pre-oil-shock; RBI already cut to 6.6% in June)	★★★★☆
Income → more credit	Credit deepens	Bank credit ~57% of GDP; system credit growth 13–14% expected FY27, ~18–20% in the June 2026 quarter. Household debt already 45.5–45.8% of GDP and rising faster than assets	★★★★☆
Income → savings financialise	Money leaves gold and deposits	Mutual fund AUM ₹82.2 lakh crore (June 2026); SIP accounts 10.45 crore; demat accounts 5.5 crore (2021) → ~21.6 crore	★★★★★
→ Insurance penetration rises	People buy protection	**Flat.** 3.7% of GDP in both FY24 and FY25; life slipped 2.8% → 2.7%	★★☆☆☆
→ Digital rails create profit pools	Payments make money	**Volume yes, profit no.** UPI did 24.07 billion transactions worth ₹29.37 lakh crore in September 2026, but merchant fees are zero below ₹2,000 by government policy	★★☆☆☆
→ Listed companies earn high returns	Growth turns into ROE	Mixed. ICICI ROA ~2.2%, Bajaj Finance ROE 20.4%, exchanges ROE 46–56%. But sector NIMs fell ~19–21 bps in FY26 and HDFC Bank's ROE is 13.6%	★★★☆☆
→ Shareholders get paid	Returns reach the share price	10-year price CAGR: ICICI 20%, Bajaj Finance 25%, HDFC Bank 8%, Kotak 11%. 5-year: HDFC Bank −3%, Kotak +2%, Bajaj Finance +4%, HDFC Life −5%, SBI Card −13%	★★★☆☆

The weak links are the last three. Demand is not the question. The questions are who is allowed to earn a profit on it (the state sets payment fees, caps and rules), how much of the growth was pre-paid in the share price, and how much the rupee takes back.

1.3 Validation events that have actually happened

DATE	EVENT
Jul 2023	HDFC Ltd merges into HDFC Bank, creating a ₹30 lakh crore loan book and a multi-year deposit problem
Nov 2024–Apr 2025	SEBI limits each exchange to one weekly index-options expiry to curb retail speculation
2025	RBI cuts the repo rate from 6.5% to 5.25%; sector margins compress
Mid/late 2025	Listings of HDB Financial, Tata Capital, Groww, ICICI Prudential AMC: the sector's "second layer" becomes investable

DATE	EVENT
2025–26	SMBC takes a 24.2–24.9% stake in Yes Bank (sources differ); Emirates NBD approved to take up to 74% of RBL Bank, the first foreign majority takeover of a profitable Indian bank
18 Mar 2026	HDFC Bank's chairman resigns citing practices "not in congruence" with his ethics. Shares have their worst day since Covid
Mar–May 2026	Iran conflict: Brent peaks at $115; rupee breaches 96 per dollar; record foreign selling
Jun 2026	RBI Financial Stability Report: bank gross bad loans 1.8%, a multi-decade low; microfinance asset quality improves for a fifth straight quarter
Jul–Aug 2026	Q1 FY27 results: ICICI profit +16%, Bajaj Finance +28%, SBI +10%, HDFC Bank +5% (NIM at a post-merger low of 3.26%)
24 Sep 2026	**NSE finally lists** after a decade of trying: ₹22,562 crore offer, second-largest Indian IPO, ~₹4.4 lakh crore valuation
26 Oct 2026	HDFC Bank CEO's term ends; successor takes over. US class-action lead-plaintiff deadline 13 Oct

> **Duan Yongping's question:** *Everyone agrees India will grow. What do I know that the price doesn't?* Until this year, nothing. In 2026 the answer may be different: the price of the largest franchise has fallen 30% from its high while its deposits grew 14.7% and its bad loans stayed at 1.17%. That is a gap between business and price, which is the only thing worth looking for.

2. Value-Chain Map

2.1 Structure

```
FUNDING (the raw material is cheap money)
  Household deposits ──► Banks (CASA = current + savings accounts, the cheapest money in India)
  Bond market / bank loans ──► NBFCs (pay 1.5–3 points more than banks for funds)

LENDING (convert money into loans)
  Private banks        HDFC Bank, ICICI, Kotak, Axis, IndusInd, IDFC First, Federal
  State banks          SBI, Bank of Baroda, PNB, Canara (≈ half of system assets)
  Small finance banks  AU SFB, Ujjivan, Equitas
  NBFCs  consumer      Bajaj Finance, HDB Financial, Tata Capital, Jio Financial
         vehicles      Shriram Finance, Cholamandalam, M&M Finance
         gold loans    Muthoot Finance, Manappuram
         housing       Bajaj Housing, LIC Housing, PNB Housing, Aavas, Aptus
         cards         SBI Cards
         micro/MSME    CreditAccess Grameen, Five-Star

PROTECTION (insurance)
  Life      LIC (state), SBI Life, HDFC Life, ICICI Prudential Life, Max Financial
  General   ICICI Lombard, Star Health, Go Digit, New India Assurance
  Broker    PB Fintech (Policybazaar)

SAVINGS AND INVESTMENT (manage the money)
  Asset managers   ICICI Prudential AMC, HDFC AMC, Nippon Life India AM, Aditya Birla Sun Life AMC, UTI
  Wealth           360 ONE, Nuvama, Anand Rathi Wealth
  Brokers          Groww, Zerodha (unlisted), Angel One, Motilal Oswal

MARKET INFRASTRUCTURE (the toll booths)
  Exchanges        NSE (listed Sep 2026), BSE, MCX (commodities)
  Depositories     CDSL, NSDL          Registrars: CAMS, KFin Technologies
  Ratings/data     CRISIL (S&P), ICRA (Moody's), CARE; credit bureau CIBIL (TransUnion, unlisted)

PAYMENTS AND FINTECH (the rails)
  Public rail      UPI, run by NPCI (not-for-profit, bank-owned): 24 billion transactions a month
  Apps             PhonePe (Walmart, unlisted), Google Pay, Paytm (listed), Navi, CRED
  Merchant         Pine Labs, Razorpay (unlisted), PayU (Prosus)
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2.2 Business characteristics by segment

SEGMENT	HOW IT EARNS	TYPICAL RETURN	COMPETITION	MOAT TYPE	CYCLICALITY
Private banks	Spread between cheap deposits and loans, plus fees	ROA 1.5–2.4%, ROE 13–17%	Oligopoly of ~5 at the top	Deposit franchise, licence, trust	Medium (credit cycle)
State banks	Same, with government mandates	ROA ~1%, ROE ~15% at this point of the cycle	Many, state-owned	Scale, sovereign backing	High
NBFCs	Borrow wholesale, lend to niches banks avoid	ROA 2.3–4.7%, ROE 15–21%	Fragmented, but a few dominate niches	Underwriting data, distribution	High (funding + credit)

SEGMENT	HOW IT EARNS	TYPICAL RETURN	COMPETITION	MOAT TYPE	CYCLICALITY
Life insurance	Long-dated savings/protection; value is in new-business margin	VNB margin 23–28%, ROEV ~15%	LIC + 4 bank-backed privates	Bank distribution, brand	Low–medium
General insurance	Underwriting + float	Combined ratio 103–107%, ROE ~17%	Crowded, price wars in motor	Claims data, scale	Medium (catastrophes)
Asset managers	% fee on assets	ROE 33–86%, almost no capital needed	Top 5 hold most assets	Brand, distribution, performance record	Tied to market levels
Exchanges/depositories	Fee per trade/account	ROE 24.5–56%, operating margin 50%+	**Duopoly / near-monopoly**	Regulatory licence + liquidity network effect	Tied to trading volume and SEBI rules
Payments apps	Almost nothing on UPI itself; cross-sell loans/insurance	Paytm ROE 4.6%	Two apps hold ~79% of volume, earn little	Weak: the rail is public and free	Low, but policy-dependent

2.3 The chokepoints

Three places in the chain where supply is scarce, substitution is hard and returns are highest:

1. **Low-cost deposits.** India's loan-to-deposit ratio is ~82% system-wide and ~96.5% at HDFC Bank. Whoever gathers cheap savings accounts controls growth. BCG's FY27 framing is that the recovery "depends on winning the deposit war". This is why ICICI (CASA ~38–40%, NIM 4.36%) is out-earning HDFC Bank (CASA 32%, NIM 3.26–3.40%).
2. **Exchange and depository licences.** NSE and BSE are a legal duopoly; CDSL and NSDL are the only two depositories; CAMS and KFin split mutual-fund record-keeping. ROEs of 24.5–56% with no credit risk. The risk is the regulator, which has already cut options volumes once.
3. **Underwriting data in under-served niches.** Bajaj Finance (consumer durables), Shriram (used trucks), Muthoot (gold). These earn ROAs of 3–5% that no bank matches, because they price risk banks cannot.

What is **not** a chokepoint: payments. UPI is a public utility with a zero merchant fee below ₹2,000. This is the opposite of Visa and Mastercard, and it is the single biggest place where a Western investor's intuition about "India fintech" goes wrong.

> **Buffett's question:** *Which of these would I be happy to own if the stock market closed for ten years?* The toll booths (NSE, depositories) and the two or three banks with the cheapest deposits. Not the apps.

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3. Company Scan

Prices: NSE close 9 Oct 2026. P/B and P/E from Screener.in (trailing, mostly consolidated). Market caps in ₹ lakh crore (multiply by ~10.5 for US$ billions).

3.1 Banks

COMPANY	TICKER	PRICE ₹	MKT CAP	P/E	P/B	ROE	5Y / 10Y PRICE CAGR	PURE PLAY
HDFC Bank	HDFCBANK · **NYSE: HDB**	707	10.90	13.8	1.81	13.6%	−3% / 8%	Yes
ICICI Bank	ICICIBANK · **NYSE: IBN**	1,355	9.73	17.3	2.57	15.9%	14% / 20%	Yes (owns insurers, AMC)
State Bank of India	SBIN · LSE GDR	959	8.85	10.5	1.42	15.4%	15% / 14%	Yes, state-owned
Kotak Mahindra Bank	KOTAKBANK	441	4.39	21.9	2.42	11.4%	2% / 11%	Yes
Axis Bank	AXISBANK · LSE GDR	1,259	3.92	14.1	1.77	13.1%	10% / 9%	Yes
AU Small Finance Bank	AUBANK	982	0.74	25.8	3.68	14.2%	10% / n.a.	Yes

3.2 Non-bank lenders

COMPANY	TICKER	PRICE ₹	MKT CAP	P/E	P/B	ROE	5Y / 10Y PRICE CAGR	NICHE
Bajaj Finance	BAJFINANCE	960	5.98	29.2	5.25	18.2%	4% / 25%	Consumer, SME
Bajaj Finserv	BAJAJFINSV	1,735	2.78	27.0	3.56	13.2%	−1% / 19%	Holding co: lending + insurance
Shriram Finance	SHRIRAMFIN	940	2.21	19.6	2.69	16.4%	29% / 15%	Used commercial vehicles
Jio Financial	JIOFIN	215	1.42	68.6	1.02	1.2%	n.a.	Reliance's start-up lender
Cholamandalam	CHOLAFIN	1,588	1.36	23.6	4.45	19.4%	23% / 21%	Vehicles, home, SME
Tata Capital	TATACAP	319	1.35	24.9	2.95	12.4%	n.a. (listed 2025)	Diversified
Muthoot Finance	MUTHOOTFIN	2,625	1.05	9.3	2.60	30.9%	11% / 23%	Gold loans
SBI Cards	SBICARD	562	0.53	23.5	3.41	14.7%	−13% / n.a.	Credit cards
HDB Financial	HDBFS	589	0.49	17.7	2.37	13.9%	n.a. (listed 2025)	HDFC Bank's NBFC

3.3 Insurance

COMPANY	TICKER	PRICE ₹	MKT CAP	P/E	VALUATION ANCHOR	5Y PRICE CAGR
LIC	LICI	394	4.99	8.3	~0.6–0.7x embedded value	n.a.
SBI Life	SBILIFE	1,685	1.69	65.0	~2.0x EV (EV ₹85,290 cr); VNB margin 26.2%	7%
HDFC Life	HDFCLIFE	557	1.21	61.2	~1.8x EV (EV ₹65,860 cr); VNB margin 25%	−5%
ICICI Lombard	ICICIGI	1,690	0.84	34.8	P/B 4.96; Q1 combined ratio 107.2%	2%
PB Fintech (Policybazaar)	POLICYBZR	1,012	0.47	62.6	Revenue +40%, PAT +92% in Q1; stock −42% in 1 year	n.a.

3.4 Asset managers, exchanges, infrastructure

COMPANY	TICKER	PRICE ₹	MKT CAP	P/E	ROE	DIV YIELD	5Y PRICE CAGR
NSE	NSE (listed 24 Sep 2026 at ₹1,785)	1,731	~4.28	~41–43	n.a.	n.a.	n.a.
ICICI Prudential AMC	ICICIAMC	3,030	1.50	43.0	85.8%	0.90%	n.a. (listed Dec 2025)
BSE	BSE	3,287	1.34	47.4	46.0%	0.30%	83%
Groww	GROWW	192	1.21	49.5	28.8%	—	n.a. (listed 2025)
HDFC AMC	HDFCAMC	2,262	0.97	32.9	32.9%	2.39%	9%
MCX	MCX	3,318	0.85	54.9	56.3%	0.24%	52%
Nippon Life India AM	NAM-INDIA	1,045	0.67	40.9	34.5%	2.06%	18%
Angel One	ANGELONE	292	0.27	25.9	n.a.	—	n.a.
CDSL	CDSL	1,260	0.26	55.9	24.5%	1.01%	12%
CAMS	CAMS	672	0.17	33.8	36.3%	1.86%	2%

3.5 Payments and fintech

COMPANY	TICKER	PRICE ₹	MKT CAP	P/E	NOTE
Paytm (One 97)	PAYTM	1,636	1.05	129	First profitable year FY26 (₹552 cr); ROE 4.6%
PhonePe	unlisted	—	~$9–15B targets	—	45%+ of UPI volume; IPO approved Jan 2026, **on hold**, approval valid to 20 Jan 2027
Zerodha, Razorpay, CRED, Navi	unlisted	—	—	—	Future IPO candidates

3.6 What a European retail investor can actually buy

This matters more than any ranking. **India does not let foreign individuals buy shares on NSE/BSE directly** without institutional (FPI) registration, so most of the tables above are out of reach.

ROUTE	WHAT IT GIVES	NOTES
HDB (NYSE ADR)	HDFC Bank. $22.28 on 9 Oct, 52-week range $21.71–$37.45, P/E 13.5	1 ADR = 3 shares. Subject of the US class action
IBN (NYSE ADR)	ICICI Bank. $27.89 on 9 Oct, 52-week range $25.08–$33.03, P/E 16.9	1 ADR = 2 shares. Indirectly holds ICICI Lombard, ICICI Pru Life, ICICI AMC
SBI, Axis GDRs (London)	State Bank of India, Axis Bank	Thin trading; check your broker lists them
India UCITS ETFs (iShares MSCI India *NDIA*, Amundi MSCI India, UBS MSCI India, Franklin FTSE India)	Whole Indian market; financials are the largest sector, roughly a quarter to a third of the index	Fees 0.19–0.65%. You also get Reliance, Infosys, etc.
Indirect	Prosus (PayU India), Fairfax India (CSB Bank, IIFL), Walmart (PhonePe), Sumitomo Mitsui (Yes Bank)	India finance is a small part of each

ROUTE	WHAT IT GIVES	NOTES
Not accessible	Bajaj Finance, Kotak, NSE, BSE, HDFC AMC, CAMS, CDSL, Shriram, Cholamandalam, insurers	No ADR/GDR. Only through funds

Tiering by investability and certainty

- **Tier 1 (large, pure, reachable):** ICICI Bank (IBN), HDFC Bank (HDB)
- **Tier 2 (large, pure, India-only or thin GDR):** SBI, Kotak, Axis, Bajaj Finance, NSE, HDFC AMC, ICICI AMC, SBI Life
- **Tier 3 (niche leaders, India-only):** Shriram, Cholamandalam, Muthoot, BSE, MCX, CDSL, CAMS, Nippon AM, ICICI Lombard, PB Fintech
- **Tier 4 (unproven or optionality):** Jio Financial, Paytm, Groww, Tata Capital, HDB Financial, PhonePe (unlisted)

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4. Four-Masters Analysis of the Leaders

4.1 ICICI Bank (IBN) — Information A

- **Business (Duan):** A full-service private bank that rebuilt itself after 2018 around risk-calibrated profit. Q1 FY27 standalone profit ₹14,805 crore (+15.9%); NIM 4.36%, the best of the large banks and stable through a rate-cut cycle; advances ₹16.31 lakh crore (+~19.6%); deposits ₹18.34 lakh crore (+14%); gross NPA 1.38%, net 0.35%. ROA ~2.2%. Owns listed insurers and the largest AMC.
- **Moat (Buffett):**

MOAT	STRENGTH	EVIDENCE
Brand / trust	★★★★☆	Second-largest private bank, systemically important
Switching cost	★★★★☆	Salary accounts, business banking (+28%), digital stack
Network effect	★★☆☆☆	Limited
Scale	★★★★☆	₹9.7 lakh crore market cap, national branch + digital reach
Licence	★★★★★	New universal bank licences are almost never issued

- **Risk (Munger):** Loans growing ~20% against deposits at 14% cannot continue; either growth slows or it pays up for deposits. Rural (+35%) and business banking (+28%) are the fastest-growing and least-seasoned books. CASA has slipped (41% → ~38–40%). A bank growing this fast into a slowing economy is how every bank accident starts.
- **Management:** CEO Sandeep Bakhshi (since 2018) is widely credited with the turnaround; professional management, no promoter. **A**– (the question is succession).
- **Valuation:** P/E 17.3, P/B 2.57. Not cheap in absolute terms, fair for a 2.2% ROA bank. 1-year price change –2%.
- **Rating:** ★★★★☆ – best operating bank you can reach from Europe; priced as such.

4.2 HDFC Bank (HDB) — Information A

- **Business (Duan):** India's largest private bank, for 25 years the textbook compounder. The 2023 merger with its parent added a huge mortgage book funded by expensive borrowings. Since then it has been digesting. Q1 FY27 profit ₹19,060 crore (+5%; +9.8% excluding a one-off a year ago); NIM 3.26% on

total assets, the lowest since the merger; advances ₹30.61 lakh crore (+15.4%); deposits ₹31.71 lakh crore (+14.7%); CASA down to 32% from 38% in 2023; gross NPA 1.17%; capital adequacy 19.6%.

- **Moat:**

MOAT	STRENGTH	EVIDENCE
Brand / trust	★★★★☆	Dented in 2026 by the chairman's exit, still the default private bank
Switching cost	★★★★☆	Largest retail and SME customer base
Scale	★★★★★	₹10.9 lakh crore market cap; largest private balance sheet
Deposit franchise	★★★☆☆	**Weakening**: CASA 32% and falling, time deposits growing 17.4%
Licence	★★★★★	Same as peers

- **Risk (Munger):** Three things at once. (1) **Governance:** the chairman resigned on 18 March citing ethics; an Indian Express report in May alleged ~₹45 crore of disguised payments to a state road corporation to attract deposits; a US securities class action followed. The bank's outside law firms said the allegations were not substantiated and the RBI said it had "no material concerns on record". Unproven either way. (2) **Leadership:** the CEO leaves on 26 October 2026 and a new one starts. (3) **Economics:** ROE 13.6% is below what earned the old premium, and management says margin repair "will not happen quickly". Foreign holders cut their stake by 2.43 points to 39.39% in the September quarter alone.
- **Management:** In transition. **B, under review.**
- **Valuation:** P/E 13.8, P/B 1.81, dividend yield 1.84%. Share price ₹707 vs a 52-week range of ₹682–1,020. The lowest price-to-book in many years for this franchise.
- **Rating:** ★★★★☆ – the classic "great company with a temporary problem, or a good company whose greatness ended" question. Price already assumes a lot of the second.

4.3 State Bank of India — Information A

- **Business:** A quarter of the banking system, state-owned. Q1 FY27 profit ₹21,121 crore (+10%), NII +15%, domestic NIM 3.0%, gross NPA 1.47% (two-decade low). P/E 10.5, P/B 1.42, ROE 15.4%.
- **Moat:** Sovereign trust and unmatched deposit reach (★★★★★ scale). **Risk:** it is an instrument of government policy first and a shareholder vehicle second; this is the best point in its credit cycle in 20 years, which is when state banks look cheapest and are riskiest. **Management B.**
- **Rating:** ★★★☆☆ – cheap for a reason that returns every cycle.

4.4 Kotak Mahindra Bank and Axis Bank — Information A

- **Kotak:** highest NIM (4.53%) and ROA (2.14%) but ROE only ~11–12% because it holds excess capital; profit +26% in Q1; P/E 21.9, P/B 2.42; 5-year price CAGR 2%. Conservative founder-led culture (Uday Kotak now non-executive). ★★★☆☆ – quality, slow, India-only.
- **Axis:** NIM fell to 3.46% from 3.73%; ROA 1.5%, ROE ~14%; P/E 14.1, P/B 1.77. The perennial number three. ★★★☆☆.

4.5 Bajaj Finance — Information A

- **Business (Duan):** India's best consumer lender: 5 million new customers a quarter, AUM ₹5.47 lakh crore (+24%), Q1 profit ₹6,081 crore (+28%), ROA 4.7%, ROE 20.4%, credit cost ~1.5%, gross NPA 0.96%.

- **Moat:** Data and distribution at the point of sale (★★★★☆), cross-sell engine (★★★★☆), no deposit franchise (★★☆☆☆ on funding). **Risk:** it is the lender most exposed to exactly the borrowing the RBI worries about (non-housing retail is 58.4% of household debt); it borrows wholesale; and at 5.25x book any disappointment is punished. Ambit's target of ₹815 vs CLSA's ₹1,300 shows how wide the argument is. **Management A.**
- **Valuation:** P/E 29.2, P/B 5.25. Profit compounded 34% for 5 years while the stock returned 4% a year: the multiple has been deflating the whole time and is still the highest among lenders.
- **Rating:** ★★★☆☆ – wonderful business, full price, not reachable from Europe.

4.6 Vehicle and gold lenders: Shriram, Cholamandalam, Muthoot — Information A

- **Shriram Finance:** used-truck lending is a relationship business nobody else wants; Q1 profit +60% (partly one-offs), AUM ₹3.13 lakh crore (+15%), P/E 19.6, P/B 2.69. ★★★☆☆.
- **Cholamandalam:** AUM ₹2.54 lakh crore (+23%), ROA 3.7%, ROE 21.2%, P/E 23.6, P/B 4.45; Murugappa group, long clean record. ★★★☆☆.
- **Muthoot Finance:** gold loans; profit doubled in FY26 on the gold price; P/E 9.3, ROE 30.9%, but the share price has fallen from ₹4,150 to ₹2,625. A P/E of 9 on peak earnings is the market saying the earnings will not last. ★★☆☆☆ – a gold-price bet, not a financialisation bet.

4.7 Insurance: SBI Life, HDFC Life, ICICI Lombard, LIC — Information A

- **SBI Life** has the best distribution in the country (SBI's 22,000+ branches): APE +36%, VNB +29%, margin 26.2%, ~2.0x embedded value. ★★★☆☆.
- **HDFC Life:** APE +9%, margin 25%, ~1.8x EV, 5-year price CAGR –5%. ★★☆☆☆.
- **ICICI Lombard:** Q1 profit –46% on fire losses, combined ratio 107.2%, premium growth (7.5%) below the industry (10.9%). P/E 34.8. ★★☆☆☆.
- **LIC:** P/E 8.3, ~0.6x EV, the cheapest large financial in India, and state-run with a shrinking market share. ★★☆☆☆.
- **The sector problem (Munger):** penetration has been flat at 3.7% for two years. Regulators have repeatedly changed surrender values, commissions and tax treatment. Insurance in India is sold through banks, so the bank parent captures much of the value. The thesis link "people will buy more insurance" is the least validated in the chain.

4.8 Asset managers: HDFC AMC, ICICI Prudential AMC, Nippon — Information A/B

- **Business (Duan):** collect a fee on a pool that grows from both new savings (SIP flows up ~24–26% a year) and market returns. No capital needed: ROE 33–86%, most profit paid out (HDFC AMC yields 2.39%).
- **Moat:** bank-parent distribution and brand (★★★★☆). **Risk:** SEBI keeps cutting allowed fees; passive funds grow; earnings fall when the market does (they are geared to the Nifty, which is down ~15%). **Valuation:** HDFC AMC P/E 32.9, ICICI AMC 43.0, Nippon 40.9.
- **Rating:** HDFC AMC ★★★★☆ (the purest play on the single best-validated link in the chain, at the lowest multiple of the three); ICICI AMC ★★★☆☆; Nippon ★★★☆☆. All India-only.

4.9 Exchanges and infrastructure: NSE, BSE, MCX, CDSL, CAMS — Information A/B

- **NSE:** ~90%+ of cash equities and the world's largest derivatives exchange by contracts; listed two weeks ago at ~43x FY26 earnings, now just under the IPO price at ₹1,731. FY26 profit reportedly fell ~15% after SEBI's options curbs. Moat ★★★★★ (liquidity network effect + licence). Risk: its profits depend

on retail options trading that the regulator openly wants less of. ★★★★☆ on business quality, **B** information (two weeks of trading), India-only.

- **BSE:** the challenger that took options share after the 2024–25 rule changes; profit ₹772 cr → ₹2,487 cr in two years; P/E 47.4; 5-year price CAGR 83%. Earnings this dependent on one regulatory quirk can reverse the same way. ★★☆☆☆ at this price.
- **MCX:** commodity derivatives monopoly, P/E 54.9, near its 52-week high. ★★☆☆☆ at this price.
- **CDSL:** one of two depositories; profit fell in FY26 (₹526 cr → ₹455 cr); P/E 55.9. ★★☆☆☆ at this price.
- **CAMS:** ~two-thirds of mutual-fund record-keeping; P/E 33.8, ROE 36.3%, yield 1.86%, 5-year price CAGR 2%; near its 52-week low. Fee pressure from AMC clients is the issue. ★★★☆☆.

4.10 Payments and fintech: Paytm, Groww, PB Fintech, Jio Financial — Information B

- **Paytm:** first profit in FY26 after years of losses and an RBI clampdown on its bank in 2024; P/E 129. ★★☆☆☆.
- **Groww:** largest retail broker by active clients; P/E 49.5, ROE 28.8%; revenue leans on derivatives trading. ★★☆☆☆.
- **PB Fintech:** the dominant online insurance marketplace; revenue +40%, profit +92%; P/E 62.6 after a 42% fall. A real network-effect business with a regulator that can change commissions. ★★★☆☆.
- **Jio Financial:** Reliance's financial arm at 1.02x book, ROE 1.2%. An option on Reliance's distribution, nothing more yet. ★★☆☆☆.

> **Munger's question:** *Where is the stupidity?* In paying 50–130 times earnings for businesses whose main revenue line can be rewritten by one regulatory circular, while the country's largest deposit franchise sits at 14 times.

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5. Sector-Level Risk Assessment

5.1 Systemic risk list

RISK	PROBABILITY	IMPACT	RESPONSE
Oil shock deepens (Brent ~$100; India imports ~85% of crude) → inflation, rate hikes, slower growth	Medium–high	High	Favour banks with strong capital and deposits; avoid wholesale-funded lenders
Rupee keeps sliding (≈₹90 → ₹95–96 per dollar this year alone)	High (it is the base case over decades)	Medium, cumulative	Demand 4 points a year of extra return; do not buy on rupee-return arithmetic
Retail credit cycle turns (household debt 45.8% of GDP, 58.4% non-housing)	Medium	High for NBFCs and cards	Bank bad loans are at a 1.8% multi-decade low: this is as good as it gets, not the norm
Deposit war keeps margins low for years	High	Medium	Prefer high-CASA banks (ICICI, Kotak, SBI)
Regulatory intervention (SEBI on options, RBI on unsecured loans, zero-fee payments, insurance commissions)	High	High for exchanges, fintech, insurers	Treat regulated monopoly profits as on loan from the regulator

RISK	PROBABILITY	IMPACT	RESPONSE
Governance event at a leader (HDFC Bank 2026)	Has happened	Medium–high	Size positions for being wrong; watch 26 Oct handover and court filings
Valuation de-rating continues	Medium	Medium	Already well advanced in banks; barely started in exchanges and fintech
Thesis itself breaks (India stops growing)	Low	Very high	Not the main risk; the main risks are price, currency and rules

5.2 Historical analogy

China, 2006–2020. The economy grew roughly sixfold in dollar terms and bank assets grew even faster. The large state banks' Hong Kong shares went broadly sideways for fifteen years, because growth was funded by issuing shares, loans were directed by the state, and margins were set by policy. The winners were a handful of private or quasi-private franchises (China Merchants Bank, Ping An for a time) and, above all, the platforms the state had not yet regulated, until it did (Ant Group, 2020).

Indonesia's Bank Central Asia is the opposite case: a private bank with the cheapest deposits in an under-banked country, which compounded for two decades.

India itself, 2000–2020: HDFC Bank and Kotak were among the world's best bank investments, while the state banks destroyed capital in the 2015–2018 bad-loan cycle.

Lessons for today:

- In a growing, under-banked economy the winner is **the private bank with the cheapest deposits and the most disciplined underwriting**, not "the sector".
- State-owned lenders capture the growth and give it back in the next credit cycle.
- Platforms earn what the state allows. India decided early that payments are a public good.
- Most investors in "country growth" themes earn less than the GDP numbers suggest, through dilution, currency and entry price.

5.3 Bias check

- **Narrative bias:** "1.4 billion people need banking" is a perfect story, and perfect stories get overpaid. For most of 2021–2024 that is exactly what happened.
- **Anchoring:** HDFC Bank at ₹707 looks cheap against ₹1,020. That is anchoring on the old price. The better test is 1.8x book for a 13.6% ROE, which is fair today and cheap only if ROE recovers toward 16–17%.
- **Herding:** currently in reverse. Foreigners are net sellers at a record pace. This is one of the few times in a decade that buying Indian financials is not the crowded trade.
- **AI bias:** this report covers large caps far better than small ones, and reachable ADRs get more attention than they would on merit alone.

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6. Civilisational Trend (Li Lu)

- **Paradigm shift or passing boom?** A real, multi-decade shift. India is at roughly the income level where China was in the mid-2000s, with a working-age population still growing and a digital identity and

payments layer that most rich countries lack. Financial deepening follows income with high regularity across countries.

- **Closest analogy:** the financialisation of US household savings between 1950 and 2000, and China's credit boom of 2000–2015. The first made asset managers and brokers rich; the second made borrowers and the state rich and bank shareholders much less so. India's institutional setup (independent central bank, private-sector banks, real minority-shareholder rights) is closer to the first, with elements of the second in payments and state banks.
- **End-state in 10–20 years:** 4–6 very large private banks plus SBI; 2 exchanges; 5–6 asset managers running several times today's assets; insurance still dominated by bank-owned companies; payments free.
- **Most likely winner-takes-most:** exchanges/depositories (already) and asset management (scale + distribution).
- **Most likely to be disrupted:** standalone fintech lenders and payment apps (by banks, Jio, and regulation); mid-sized banks with no deposit edge (by consolidation, increasingly foreign-led: SMBC–Yes Bank, Emirates NBD–RBL).

> **Li Lu's question:** *Is this within my circle of competence, and is the price giving me a margin of safety?* The trend is easy. Indian bank accounting, promoter structures and regulation are not. A foreign individual's edge here is patience and entry price, not information. That argues for the two or three simplest, largest, most scrutinised franchises, or an index fund, and for buying when foreigners are leaving.

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7. Portfolio Construction (framework output, not advice)

7.1 Illustrative structure

Two versions, because access decides most of it.

A. What is reachable from a European brokerage account

LAYER	SHARE OF THEME	CANDIDATES	SEGMENT	CORE LOGIC
Core	50–60%	**ICICI Bank (IBN)** and **HDFC Bank (HDB)**	Private banks	Cheapest-deposit franchises; one is the best operator at a fair price, the other the largest franchise at a depressed price with unresolved governance
Satellite	25–35%	India UCITS ETF (MSCI India / FTSE India)	Whole market, financials the largest sector	Picks up NSE, Bajaj Finance, AMCs, insurers that cannot be bought directly
Option	5–15%	SBI GDR, or indirect names (Prosus, Fairfax India)	State bank / indirect	Only if the broker lists them; low conviction
Lazy alternative	100%	India UCITS ETF alone	—	Gives up concentration in financials, removes single-company governance risk

B. If Indian listings were accessible (reference ranking by business quality × price)

LAYER	CANDIDATES	WHY
Core	ICICI Bank, HDFC Bank, HDFC AMC	Deposit franchise ×2, plus the cleanest play on savings financialisation at 33x and a 2.4% yield

LAYER	CANDIDATES	WHY
Satellite	NSE (after a few quarters of public reporting), Kotak, SBI Life, CAMS	Toll booths and quality at below-peak multiples
Option	PB Fintech, Jio Financial	Real optionality, real chance of disappointment
Avoid at current prices	BSE, MCX, CDSL, Paytm	47–129x earnings on regulation-dependent revenue

7.2 Signals

SIGNAL	CONDITIONS
Add	HDFC Bank: new CEO in place, CASA stops falling, NIM back above ~3.5%, class action dismissed or settled small. Sector: Nifty Bank P/E at or below ~14 (5-year median 16.1); foreign selling still heavy; Brent falling
Trim	Large-bank P/B back above ~3x without ROE above 16%; system credit growth above 18% for a year with deposits lagging (the pre-accident pattern); rupee stable and everyone bullish again
Exit	Evidence that the HDFC Bank allegations are substantiated at senior level; RBI-reported retail delinquencies rising for three straight quarters; a policy turn that directs private-bank lending or caps lending rates

7.3 Theme cap

A single-country, single-sector, emerging-market theme with a structurally weakening currency and limited access routes. On the frameworks used here that argues for **a ceiling of roughly 5–10% of a total portfolio**, built in several purchases over 6–12 months instead of all at once, since the oil and rupee shock is still unfolding.

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8. Decision Memo

Summary table

DIMENSION	CONCLUSION	CONFIDENCE
Logic chain	Demand side fully validated; "stocks benefit" only partly, and only for a few business types	High on demand, medium on returns
Best segment (Duan: the right business)	Private banks with cheap deposits; asset managers; exchange duopoly	High
Widest moat (Buffett)	NSE/depositories (licence + network), then HDFC/ICICI deposit franchises	High
Biggest risk (Munger)	Paying too much, the rupee, and the regulator; currently also oil and HDFC Bank governance	High
Civilisational trend (Li Lu)	Genuine multi-decade financial deepening	High
Overall valuation	**Split market.** Large banks 10–17x earnings, 1.4–2.6x book: below their own history. Exchanges, fintech, AMCs 33–130x: still expensive	Medium
Practical constraint	From Europe: essentially HDB, IBN and India ETFs	High

What the four would say

> **Buffett:** "A bank is a good business if it doesn't do dumb things on the asset side and has a cost advantage on the liability side. India has two or three of those. I would want to own them at a price where I don't need the growth to be right."

> **Munger:** "Everybody knew India would grow, and for five years the shareholders of the best bank in the country made nothing. Remember that before you fall in love with a GDP forecast. Then notice that the people who loved it at three times book are selling it to you at under two."

> **Duan Yongping:** "Free payments are a wonderful product and a terrible business. Lending cheap deposits to people you understand is a boring product and a wonderful business. Buy the business."

> **Li Lu:** "The trend is real and long. The discipline is to wait for the moments when foreigners are afraid of the currency, the oil price and a scandal all at once. This looks like one of those moments. It can last longer than you expect, so buy slowly."

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9. Hand-off to the funnel

The industry scan points the funnel at three questions:

1. **ICICI Bank vs HDFC Bank** – the only two directly reachable pure plays. Operator at a fair price against franchise at a distressed price.
2. **Is an India ETF a better vehicle than either ADR**, given that the highest-quality non-bank businesses (NSE, HDFC AMC, Bajaj Finance) are only reachable through it?
3. **Which India-only names are worth knowing** in case access opens (NSE, HDFC AMC, Kotak, SBI Life, CAMS).

Sources

- Screener.in company pages (prices, market caps, P/E, book value, ROE, growth rates), accessed 10–11 Oct 2026: HDFCBANK, ICICIBANK, SBIN, KOTAKBANK, AXISBANK, AUBANK, BAJFINANCE, BAJAJFINSV, SHRIRAMFIN, CHOLAFIN, MUTHOOTFIN, TATACAP, HDBFS, SBICARD, JIOFIN, LICI, SBILIFE, HDFCLIFE, ICICIGI, POLICYBZR, HDFCAMC, ICICIAMC, NAM-INDIA, BSE, MCX, CDSL, CAMS, PAYTM, GROWW
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- Savings and insurance: SEBI Annual Report 2025-26 via Business Today; AMFI Factbook 2026; NISM; Business Standard (IRDAI); McKinsey via Business Today; Swiss Re
- Markets: Goodreturns, Kotak Neo, HDFC Sky (Nifty, oil); Outlook Business (FPI flows, rupee); Angel One (rupee record low)
- Events: Moneylife, The News Minute, Khaleej Times (HDFC Bank chairman, class action); INDmoney, HDFC Sky, Chittorgarh (NSE IPO); Outlook Money, StartupTalky (UPI September 2026); Outlook Business, Entrackr (UPI share); Business Today, DealStreetAsia (PhonePe IPO); Outlook Business (Emirates NBD–RBL, SMBC–Yes Bank)

- From general knowledge, not re-verified for this report: the ADR share ratios, the rupee's level ten years ago (~₹67 per dollar), the China and Indonesia bank histories in section 5.2, and the ETF fee range

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https://turnivor.github.io/investment-reports/#india-fin